Playbook: Audit Rights

NORTHWIND SYSTEMS INTERNAL LEGAL PLAYBOOK
SECTION 14: AUDIT RIGHTS

14.1 Preferred Northwind Position (Model Clause Language)

> 14.1(a) Audit of Records. Customer may, at its sole expense, through an independent certified public accounting firm mutually agreed upon by the Parties, audit Northwind’s books, records, and systems directly relating to the calculation of fees and compliance with the financial terms of this Agreement. Any such audit shall occur not more than once in any twelve (12) month period, upon not less than thirty (30) business days’ prior written notice to Northwind, during Northwind’s normal business hours, and subject to Northwind’s standard security and confidentiality procedures.
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> 14.1(b) Scope Limitations. Under no circumstances shall Customer, or its designated auditor, be permitted access to: (i) the source code of the Northwind SaaS platform; (ii) data, records, or systems pertaining to any other customer of Northwind; or (iii) Northwind’s internal pricing models, cost structures, employee compensation records, or strategic business plans.
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> 14.1(c) Financial Thresholds and Cost Allocation. If an audit reveals an underpayment by Customer, Customer shall immediately remit the full balance due. If the underpayment exceeds ten percent (10%) of the total fees properly payable for the audited twelve (12) month period, and the underpayment equals or exceeds twenty-five thousand United States Dollars ($25,000 USD), Northwind shall reimburse Customer for the reasonable, documented third-party fees of the independent accounting firm incurred for the conduct of the audit, payable within thirty (30) days of invoice. In all other cases, Customer shall bear all costs of the audit.

14.2 Fallback Position

If Customer rejects the preferred position and demands broader verification rights, Counsel may agree to the following fallback terms:

* Frequency: Maximum once per rolling twelve (12) month period (Section 14.1(a) maintained).
* Notice Period: Reduced from thirty (30) business days to twenty (20) business days' prior written notice.
* Auditor Qualification: Allows nationally recognized accounting firms (e.g., Big Four or regional equivalents) without requiring prior mutual agreement on the specific firm, provided such firm executes Northwind's standard non-disclosure agreement prior to commencement.
* Underpayment Thresholds:
* Cost-shifting threshold lowered from 10% to fifteen percent (15%) underpayment.
* Monetary floor for Northwind to reimburse auditor costs lowered from $25,000 USD to fifteen thousand United States Dollars ($15,000 USD).
* Cure Period for Underpayments: Customer must pay all underpaid fees within thirty (30) days of receiving the audit report; failure to cure within this period constitutes a material breach under Section 18.2.

14.3 Walk-Away Position

Counsel must reject and escalate (or walk away from) any clause that contains any of the following elements:

1. Unrestricted Access: Any right for Customer's internal employees, non-certified personnel, or direct competitors to conduct the audit.
2. Uncapped Frequency: Audits permitted more frequently than once per year (e.g., quarterly or "at any time").
3. Short Notice: Notice periods of less than ten (10) business days (except in verified cases of suspected security breaches governed by Section 21).
4. Operational Disruption: Rights to inspect production environments, physical datacenters, or non-financial operational logs.

14.4 Numeric and Categorical Thresholds

The following thresholds are mandatory baselines for all Northwind commercial agreements:

Parameter	Preferred Threshold	Fallback Threshold	Walk-Away / Hard Cap
Notice Period	30 business days	20 business days	< 10 business days
Audit Frequency	1 per 12 months	1 per 12 months	> 1 per 12 months (e.g., quarterly)
Auditor Cost Reimbursement Floor	$25,000 USD	$15,000 USD	< $5,000 USD
Underpayment Percentage Trigger	> 10% of fees	> 15% of fees	> 5% of fees
Cure Period for Deficiencies	30 calendar days	30 calendar days	< 15 calendar days

14.5 Named Deviations and Escalation Protocol

Deviations from the fallback position require explicit written sign-off from designated internal authorities:

1. Deviation Type A (Auditor Selection): Customer insists on using its internal internal-audit team rather than an independent certified public accounting firm.
* *Escalate to:* Chief Financial Officer (Marcus Vance).
2. Deviation Type B (Cost Recovery Adjustment): Customer demands that Northwind reimburse 100% of the audit costs if *any* underpayment is found, regardless of percentage or monetary threshold.
* *Escalate to:* General Counsel (Elena Rostova).
3. Deviation Type C (Expanded Scope): Customer requests verification of system availability, security controls, or SOC 2 compliance metrics through a custom on-site audit instead of relying on Northwind’s standard SOC 2 Type II report.
* *Escalate to:* Chief Information Security Officer (David Chen).

14.6 Worked Examples of Counterparty Language

14.6(a) Acceptable Counterparty Language (Passed without Escalation)

> *Example 1:* "Customer may, upon thirty (30) days' prior written notice to Northwind and not more than once annually, conduct an audit of Northwind’s billing records through an independent certified public accountant. Such audit shall be conducted during normal business hours. If an audit discloses an underpayment of greater than fifteen percent (15%) and exceeding $15,000, Northwind shall promptly reimburse Customer for the reasonable cost of the audit."
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> *Rationale:* Aligns with Fallback thresholds (30-day notice, 15% trigger, $15k floor, independent CPA).

> *Example 2:* "Upon twenty (20) business days' written notice, an independent third-party auditor mutually acceptable to both Parties may review Northwind's invoices and payment records to verify fee calculations, at Customer's sole expense, once per calendar year."
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> *Rationale:* Meets or exceeds all minimums (20-day notice, mutually acceptable auditor, Customer expense, once yearly).

14.6(b) Unacceptable Counterparty Language (Require Rejection / Escalation)

> *Example 3:* "Customer and its designated representatives, including its internal audit staff and software asset management consultants, may enter Northwind’s premises at any time upon five (5) days' notice to inspect all systems, servers, source code, and financial ledgers to ensure full compliance with this Agreement."
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> *Rationale:* Violates walk-away rules: permits internal staff/consultants, 5-day notice is too short, allows source code and server inspection, and permits entry "at any time." Requires mandatory rejection.

> *Example 4:* "Customer reserves the right to audit Northwind’s financial records and operational metrics on a quarterly basis. If any discrepancy resulting in an underpayment is identified, Northwind shall pay the full cost of the audit within ten (10) days of demand."
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> *Rationale:* Violates frequency limits (quarterly), removes the monetary floor and percentage threshold for cost-shifting, and imposes an unacceptably short cure period (10 days). Requires mandatory rejection.